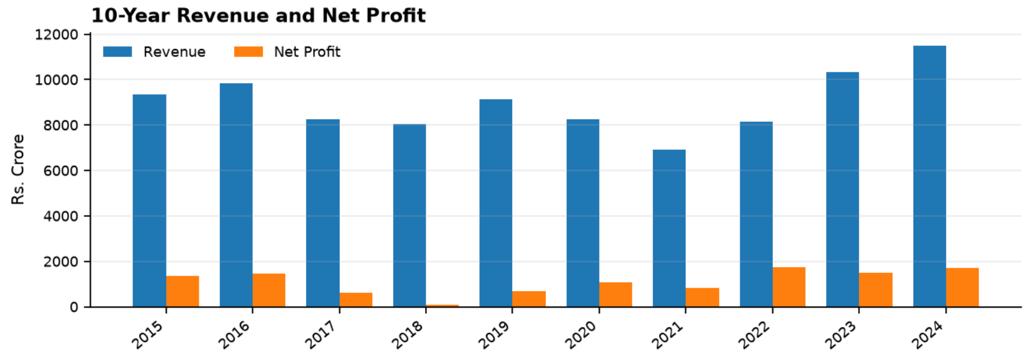
JSW Energy Ltd

Energy | Power & Utilities | Latest FY: 2024

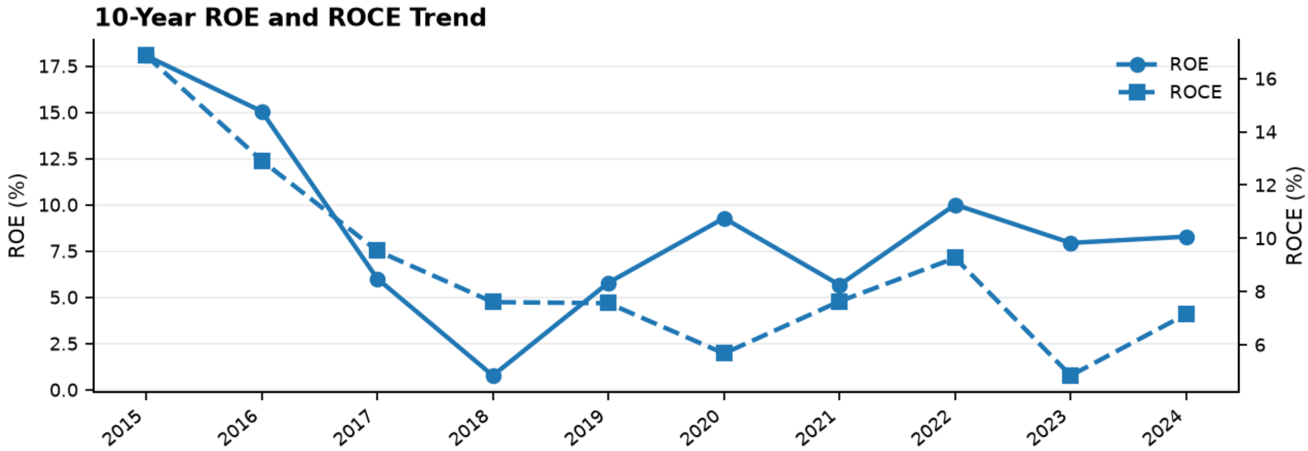
Return on Equity	ROCE	Net Profit Margin
8.3%	7.2%	15.0%

Debt to Equity	Revenue CAGR (5Y)	Free Cash Flow
1.52x	4.7%	-Rs. 1,963 Cr

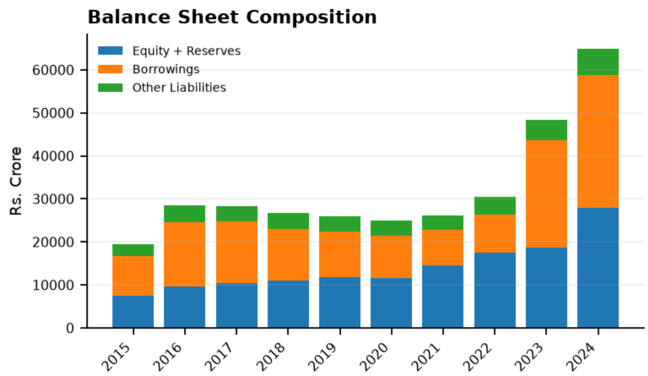
Growth and Earnings

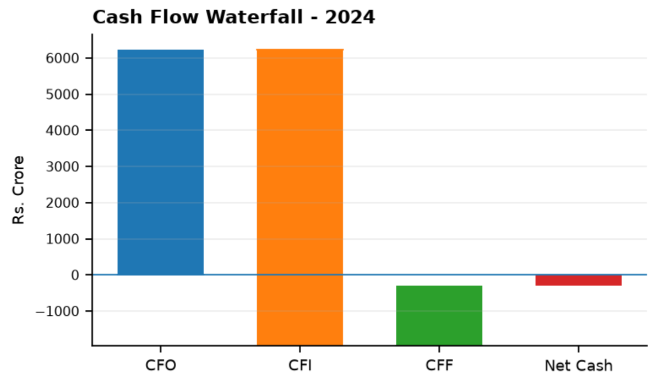


Capital Efficiency Trend



Balance Sheet and Cash Flow





Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Net profit compounding at above 20% over 5 years creates significant shareholder value

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Revenue growing at below 5% over 5 years lags normal growth expectations and suggests limited business momentum

CAPITAL ALLOCATION

Mixed